

A Study on
“A Study on Capital Budgeting Techniques with Reference to
Infosys Limited”

A Project Submitted for the Degree of
MASTER OF BUSINESS ADMINISTRATION



Centurion
UNIVERSITY
Shaping Lives...
Empowering Communities...

Submitted By

V. Venkata Raj Gopal (253202100002)
K. Sree Harini (253202100008)

Under the Guidance Of
Dr.Ch. Mohana Babu
Ph.D

SCHOOL OF MANAGEMENT
CENTURION UNIVERSITY OF TECHNOLOGY AND
MANAGEMENT
VIZIANAGARAM, ANDHRAPRADESH

Batch 2025-2027

DECLARATION

We Hereby declare that the project entitled “**A Study on Capital Budgeting Techniques with Reference to Infosys Limited**” submitted to the fulfilment for award of the **MASTER OF BUSINESS ADMINISTRATION (MBA) DEGREE AT CENTURION UNIVERSITY OF TECHNOLOGY AND MANAGEMENT**. This Project works is original and has not been submitted so far in any part or full for any other university or institute for the award of any Degree or Diploma

Name of the Student:

V. Venkata Raj Gopal (253202100002)

K. Sree Harini (253202100008)

Signature of the Student:

Place: Vizianagaram

Date:



BONAFIDE CERTIFICATE

Certified that this project report **“A Study on Capital Budgeting Techniques with Reference to Infosys Limited”** is the Bonafide work of “V. Venkata Raj Gopal, K. Sree Harini” who carried out the project work under my supervision. This is to further certify, to the best of my knowledge, that this project has not been carried out earlier in this institute and the university.

SIGNATURE

Head/Dean

SIGNATURE

Dr.Ch. Mohana babu

Certified that the above-mentioned project has been duly carried out as per the norms of the college and statutes of the university

ACKNOWLEDGEMENTS

It is with utmost pleasure and excitement that we submit our project in partial fulfilment of the requirement for the award of Masters of Business Administration. This project is the result of the cumulative efforts, support, guidance, encouragement, and inspiration from many individuals to whom we express our sincere gratitude. At the outset, we convey our special thanks to our Project Guide **Dr. Mohana Babu Ch, Professor**, who guided us and encouraged us throughout the project. His valuable suggestions helped us to enhance our understanding and enriched the quality of this project. We express our heartfelt thanks to the **Head of the Department, Dean-School of Management Dr. Mohana Babu Ch**, who provided a supportive and friendly environment that enabled us to develop our skills during the course of this project. We also extend our gratitude to **Dr. Pallavi, Registrar of Centurion University of Technology and Management**, for her support in fulfilling the project requirements. At the outset, we also thank **Dr. Prasanta Kumar Mohanty, Vice Chancellor of Centurion University of Technology and Management**, for providing the institutional support necessary for the successful completion of this project.

Name of the Student:

V. Venkata Raj Gopal (253202100002)

K. Sree Harini (253202100008)

Signature of the Student:

Place: Vizianagaram

Date:

TABLE OF CONTENTS

CHAPTER 1: INTRODUCTION

- 1.1 Meaning of Capital Budgeting
- 1.2 Importance of Capital Budgeting
- 1.3 Objectives of the Study
- 1.4 Need for Study
- 1.5 Limitations of Study

CHAPTER 2: CAPITAL BUDGETING TECHNIQUES

- 2.1 Traditional Techniques
 - 2.1.1 Payback Period
 - 2.1.2 Accounting Rate of Return (ARR)
- 2.2 Modern Techniques
 - 2.2.1 Net Present Value (NPV)
 - 2.2.2 Internal Rate of Return (IRR)
 - 2.2.3 Profitability Index (PI)

CHAPTER 3: INDUSTRY PROFILE & COMPANY PROFILE – INFOSYS LIMITED

- 3.1 Industry Profile
- 3.2 Introduction to the Company
- 3.3 History and Growth
- 3.4 Business Segments

CHAPTER 4: CAPITAL BUDGETING PRACTICES IN INFOSYS

- 4.1 Techniques Used by the Company
- 4.2 Application of DCF (NPV & IRR)
- 4.3 Investment Decision Process

CHAPTER 5 ANALYSIS AND INTERPRETATION

- 5.1 Evaluation of Techniques Used
- 5.2 Advantages to the Company
- 5.3 Comparison with Other Methods

CHAPTER 6: FINDINGS, SUGGESTIONS, CONCLUSION

BIBLIOGRAPHY

Annexure

A Study on Capital Budgeting Techniques with Reference to Infosys Limited

CHAPTER 1

INTRODUCTION

Meaning of Capital Budgeting

Capital budgeting is a systematic process used by organizations to evaluate and select long-term investment projects. These investment decisions involve large amounts of capital and are expected to generate benefits over a long period of time. Examples of such investments include purchasing new machinery, expanding production capacity, introducing new products, investing in technology, or entering new markets. Because these decisions have a long-term impact on the company, they require careful analysis and planning.

In simple words, capital budgeting helps a company decide where to invest its funds in order to achieve maximum returns in the future. It focuses on identifying profitable opportunities and avoiding investments that may lead to losses. The main objective of capital budgeting is to maximize the wealth of shareholders by selecting the best possible investment options.

One of the important concepts in capital budgeting is the time value of money. This concept states that money available today is more valuable than the same amount of money received in the future due to its earning potential. Therefore, companies use modern evaluation techniques such as Net Present Value (NPV) and Internal Rate of Return (IRR) to measure the profitability of investment projects by considering future cash flows.

Capital budgeting also involves estimating future cash inflows and outflows associated with a project. These estimates are used to analyze whether the expected returns are sufficient to justify the investment. Since future conditions are uncertain, companies must also consider risk and uncertainty while making decisions.

Another important feature of capital budgeting is that these decisions are usually irreversible in nature. Once a company invests in a project, it is difficult to withdraw or change the decision without incurring losses. Hence, proper evaluation is essential before committing funds.

In addition, capital budgeting plays a significant role in the growth and expansion of a business. It helps in efficient allocation of financial resources and ensures that funds are used in the most productive way. It also improves financial discipline within the organization by encouraging systematic decision-making.

Overall, capital budgeting is a crucial aspect of financial management that enables companies to make informed and effective long-term investment decisions. It not only helps in achieving higher profitability but also ensures sustainable growth and stability of the business in the long run.

Importance of Capital Budgeting

Capital budgeting is very important for every organization as it helps in making effective and efficient investment decisions. Since companies have limited financial resources, they must ensure that these resources are used in the best possible way. Capital budgeting helps in selecting the most profitable projects and avoiding investments that may lead to losses.

One of the main importance of capital budgeting is that it focuses on long-term planning. It helps organizations plan their future growth and expansion by identifying suitable investment opportunities. Through proper evaluation of projects, companies can ensure steady growth and sustainability in the long run.

Capital budgeting also helps in proper allocation of resources. It ensures that funds are invested only in those projects that generate maximum returns. This avoids wastage of money and improves the overall financial efficiency of the company. It also helps management prioritize different investment options based on their profitability and risk.

Another important aspect is that capital budgeting considers risk and uncertainty. Since future cash flows are uncertain, companies analyze different possible outcomes before making a decision. This reduces the chances of financial losses and improves decision-making quality.

It also helps in maximizing shareholder wealth. By selecting profitable projects, companies can increase their earnings and provide better returns to shareholders. This ultimately improves the market value and reputation of the company.

In addition, capital budgeting supports financial control and performance evaluation. It provides a basis for comparing actual performance with expected results. This helps management take corrective actions if required and ensures better control over investments.

Capital budgeting also helps in making strategic decisions such as expansion, diversification, modernization, and replacement of assets. These decisions are essential for maintaining competitiveness in the market.

Overall, capital budgeting plays a key role in the success of a business. It ensures efficient use of funds, reduces risks, supports long-term planning, and helps in achieving the financial objectives of the organization.

Objectives of the Study

The main objectives of this study are as follows:

- To understand the concept and importance of capital budgeting in financial management.
- To study various capital budgeting techniques such as Payback Period, Accounting Rate of Return (ARR), Net Present Value (NPV), Internal Rate of Return (IRR), and Profitability Index (PI).
- To analyze the capital budgeting practices followed by Infosys Limited using available secondary data sources such as annual reports and official websites.
- To identify which capital budgeting techniques are used by the company for evaluating investment decisions.
- To examine how the company considers factors like time value of money and expected returns while making investment decisions.
- To evaluate the effectiveness of the techniques used by the company based on available information.
- To draw conclusions based on the analysis of capital budgeting practices in Infosys Limited.

Need for the Study

In today's competitive business environment, companies are required to make effective and timely investment decisions in order to survive and grow. Capital budgeting plays a crucial role in helping organizations select the most profitable projects and avoid unnecessary risks. Therefore, there is a strong need to study capital budgeting techniques in detail.

The primary need for this study arises from the importance of understanding how companies evaluate long-term investment decisions. Since these decisions involve a large amount of funds and have long-term effects, it is essential to analyze the techniques used in practice. This study helps in bridging the gap between theoretical knowledge and practical application of capital budgeting methods.

Another important need for the study is to identify which capital budgeting techniques are actually used by companies. While various methods are available in theory, not all of them are applied in real business situations. By studying a company like Infosys Limited, it becomes easier to understand how techniques such as Net Present Value (NPV), Internal Rate of Return (IRR), and Discounted Cash Flow (DCF) are used in real-life decision-making.

The study is also important for understanding the role of factors such as time value of money, risk, and expected returns in investment decisions. These factors play a significant role in determining the success or failure of a project, and analyzing them helps in making better financial decisions.

In addition, this study is useful for students and future professionals as it provides practical knowledge about financial decision-making. It helps in developing analytical skills and improves the ability to evaluate investment opportunities effectively.

Furthermore, the study helps in identifying the advantages and limitations of different capital budgeting techniques. This understanding is important for selecting the most appropriate method in different business situations.

Overall, the need for this study lies in gaining a clear understanding of capital budgeting practices, improving decision-making skills, and applying financial concepts effectively in real-world scenarios.

Limitations of the Study

Every study has certain limitations, and this project is no exception. The following are the main limitations of the study:

- The study is based only on secondary data such as annual reports, websites, and published sources, which may not provide complete information about the company's internal practices.
- The company does not explicitly disclose detailed capital budgeting techniques such as NPV or IRR calculations, so the analysis is based on indirect interpretation.
- The study is limited to one company, Infosys Limited, and the findings may not be applicable to other companies or industries.
- Due to time constraints, the study does not include detailed financial calculations or primary data collection.
- Some financial information is complex and summarized, which may limit deep analysis of investment decisions.
- The study mainly focuses on general capital budgeting practices and does not include project-specific investment analysis.

Overall, despite these limitations, the study provides a useful understanding of capital budgeting practices based on available information.

CHAPTER 2

Traditional Techniques

Traditional techniques of capital budgeting are the basic methods used by companies to evaluate investment projects. These methods are simple to understand and easy to calculate, as they do not consider complex factors like the time value of money. They mainly focus on accounting profits and the time taken to recover the investment.

One of the main features of traditional techniques is their simplicity. These methods require less data and can be easily applied without advanced financial knowledge. Because of this, they are still used by many companies for preliminary analysis and quick decision-making.

However, traditional techniques have certain limitations. They do not consider the time value of money, which means they treat future cash flows as equal to present cash flows. This can lead to inaccurate results, especially for long-term projects. In addition, these methods focus more on short-term returns rather than long-term profitability.

Despite these limitations, traditional techniques are useful in certain situations. For example, they can be used when companies want to quickly assess how fast they can recover their investment or when detailed financial data is not available.

The two main traditional techniques of capital budgeting are Payback Period and Accounting Rate of Return (ARR). The Payback Period method measures the time required to recover the initial investment, while ARR focuses on the average return generated by the project.

Overall, traditional techniques provide a basic understanding of investment decisions. They are simple and easy to use, but they are less reliable compared to modern techniques. Therefore, companies often use them along with advanced methods to make better financial decisions.

Payback Period

Payback Period is one of the simplest and most commonly used traditional capital budgeting techniques. It refers to the time required to recover the initial investment made in a project from its expected cash inflows. In other words, it shows how quickly a company can get back the money it has invested in a project.

The formula for Payback Period is:

$$\text{Payback Period} = \text{Initial Investment} / \text{Annual Cash Inflow}$$

In cases where cash inflows are not equal, the payback period is calculated by adding the cash inflows year by year until the initial investment is fully recovered.

The main advantage of the Payback Period method is its simplicity. It is easy to understand and calculate, making it useful for quick decision-making. It also focuses on liquidity by showing how fast the invested amount can be recovered. This is especially useful for companies that prefer short-term investments or face high risk.

However, the Payback Period method has some limitations. It does not consider the time value of money, which means it treats all cash inflows equally regardless of when they are received. It also ignores cash flows that occur after the payback period, which means it does not measure the overall profitability of a project.

For example, if a company invests ₹1,00,000 in a project and receives ₹25,000 every year, the payback period will be 4 years. This means the company will recover its investment in 4 years. Despite its limitations, the Payback Period method is still widely used as a preliminary tool for evaluating investment projects. It is often used along with modern techniques to make better financial decisions.

Accounting Rate of Return (ARR)

Accounting Rate of Return (ARR) is another traditional method used in capital budgeting to evaluate the profitability of an investment. It measures the average annual accounting profit generated by a project as a percentage of the initial investment. This method focuses on accounting profits rather than cash flows.

The formula for ARR is:

$$\text{ARR} = (\text{Average Annual Profit} / \text{Initial Investment}) \times 100$$

In some cases, average investment is used instead of initial investment, depending on the requirement.

The main advantage of ARR is that it is simple to calculate and easy to understand. It uses accounting data, which is readily available from financial statements. It helps companies compare different projects based on their expected profitability and select the one with the highest return.

ARR is also useful for performance evaluation, as it shows how efficiently the investment is generating profits. Managers often use this method for internal decision-making and comparison of different investment options.

However, ARR has several limitations. It does not consider the time value of money, which reduces its accuracy for long-term projects. It is based on accounting profits rather than actual cash flows, which may not reflect the true financial position. Additionally, ARR does not consider the timing of profits, meaning it treats all profits equally regardless of when they are earned.

For example, if a project requires an investment of ₹1,00,000 and generates an average annual profit of ₹20,000, then ARR will be 20%. This indicates the profitability of the investment.

Overall, ARR is a simple and useful method for evaluating investment projects, but it is less reliable compared to modern techniques. Therefore, companies usually use it along with other methods like NPV and IRR for better decision-making.

Modern Techniques

Modern techniques of capital budgeting are advanced methods used by companies to evaluate investment projects more accurately. Unlike traditional techniques, these methods consider the time value of money, which means they recognize that money received today is more valuable than money received in the future. Because of this, modern techniques provide more reliable and realistic results.

These techniques focus on analyzing future cash flows and converting them into present value to make better comparisons. They help companies understand the true profitability of a project by considering factors such as cost of capital, risk, and expected returns. As a result, most companies prefer modern techniques for making long-term investment decisions.

One of the key advantages of modern techniques is that they help in maximizing shareholder wealth. By selecting projects that generate positive returns after considering the time value of money, companies can improve their financial performance and long-term growth.

Modern techniques also allow better comparison between different projects. Since they use discounted cash flows, they provide a clear picture of which project is more beneficial. This helps management in making informed and strategic decisions.

However, these methods may be slightly complex to calculate and require proper estimation of future cash flows and discount rates. Despite this, they are widely used because of their accuracy and effectiveness.

The main modern capital budgeting techniques include Net Present Value (NPV), Internal Rate of Return (IRR), and Profitability Index (PI). These methods are considered more reliable and are commonly used by companies such as Infosys Limited in evaluating investment decisions. Overall, modern techniques play a crucial role in financial decision-making by providing a scientific and systematic approach to capital budgeting. They help companies make better investment decisions and ensure long-term profitability and growth.

Net Present Value (NPV)

Net Present Value (NPV) is one of the most widely used and reliable modern capital budgeting techniques. It is used to evaluate the profitability of an investment by comparing the present value of future cash inflows with the initial investment. In simple terms, NPV shows how much value a project adds to the company.

The basic idea behind NPV is the time value of money, which means that money received today is more valuable than the same amount received in the future. Therefore, future cash flows are discounted to their present value using a required rate of return or cost of capital.

The formula for NPV is:

$$\text{NPV} = \text{Present Value of Cash Inflows} - \text{Initial Investment}$$

If the NPV is positive, the project is considered profitable and should be accepted. If the NPV is negative, the project should be rejected as it may lead to losses. If the NPV is zero, the company may be indifferent in making the decision.

The main advantage of NPV is that it considers the time value of money and provides a direct measure of profitability. It helps in maximizing shareholder wealth by selecting projects that add value to the firm. It also considers all cash flows throughout the life of the project, making it more accurate than traditional methods.

However, NPV has some limitations. It requires accurate estimation of future cash flows and the discount rate, which may be difficult in uncertain conditions. It can also be slightly complex to calculate compared to traditional methods.

For example, if a company invests ₹1,00,000 in a project and the present value of future cash inflows is ₹1,20,000, then the NPV will be ₹20,000. Since the NPV is positive, the project is profitable and should be accepted.

Overall, NPV is considered the best capital budgeting technique because it provides a clear indication of the value added by a project and supports effective financial decision-making.

Internal Rate of Return (IRR)

Internal Rate of Return (IRR) is an important modern capital budgeting technique used to evaluate the profitability of an investment. It is defined as the discount rate at which the Net Present Value (NPV) of a project becomes zero. In simple terms, IRR represents the rate of return that a project is expected to generate.

The decision rule for IRR is simple. If the IRR is greater than the required rate of return or cost of capital, the project should be accepted. If the IRR is less than the required rate of return, the project should be rejected. This helps companies in selecting projects that provide higher returns.

One of the main advantages of IRR is that it considers the time value of money, making it more reliable than traditional methods. It also expresses the result in percentage form, which makes it easy to understand and compare with other investment opportunities. Managers often prefer IRR because it directly shows the expected return of a project.

IRR is also useful when comparing multiple projects. The project with the highest IRR is generally considered more attractive, provided it meets the required rate of return. This makes IRR a valuable tool in decision-making.

However, IRR has some limitations. In some cases, it may give multiple values or no value at all, especially when cash flows are irregular. It may also lead to incorrect decisions when

comparing mutually exclusive projects, as it does not directly measure the value added to the firm like NPV.

For example, if a project has an IRR of 15% and the company's required rate of return is 10%, the project will be accepted because it generates a higher return than the minimum required.

Overall, IRR is a useful and widely used capital budgeting technique that helps in evaluating the profitability of investment projects. However, it is usually used along with NPV to make more accurate and effective financial decisions.

Profitability Index (PI)

Profitability Index (PI), also known as the Benefit-Cost Ratio, is a modern capital budgeting technique used to evaluate the efficiency of an investment. It measures the relationship between the present value of future cash inflows and the initial investment made in a project. In simple terms, it shows how much value is created per unit of investment.

The formula for Profitability Index is:

$$PI = \text{Present Value of Cash Inflows} / \text{Initial Investment}$$

The decision rule for PI is straightforward. If the PI is greater than 1, the project should be accepted as it indicates that the present value of inflows is higher than the investment. If the PI is less than 1, the project should be rejected. If the PI is equal to 1, the company may be indifferent in its decision.

One of the main advantages of the Profitability Index is that it considers the time value of money, making it more accurate than traditional methods. It is especially useful when a company has limited funds and needs to choose between multiple projects. In such cases, PI helps in ranking projects based on their profitability and selecting the most efficient ones.

Another advantage is that PI provides a relative measure of profitability, unlike NPV which gives an absolute value. This makes it easier to compare projects of different sizes and investment amounts.

However, PI also has some limitations. It depends on accurate estimation of future cash flows and discount rates, which may be difficult in uncertain situations. It may also give misleading results when comparing mutually exclusive projects, similar to IRR.

For example, if the present value of future cash inflows is ₹1,50,000 and the initial investment is ₹1,00,000, then the PI will be 1.5. Since the value is greater than 1, the project is considered profitable and should be accepted.

Overall, the Profitability Index is a useful capital budgeting technique that helps in evaluating the efficiency and profitability of investment projects. It is often used along with NPV and IRR to support better financial decision-making.

CHAPTER 3

Industry Profile

The Information Technology (IT) industry is one of the fastest-growing sectors in the global economy. It plays a crucial role in supporting businesses by providing services such as software development, consulting, data analytics, cloud computing, artificial intelligence, and digital transformation. The IT industry helps organizations improve efficiency, reduce costs, and enhance decision-making.

In India, the IT industry has grown rapidly over the past few decades and has become a major contributor to the country's economic development. India is considered one of the leading hubs for IT services due to its skilled workforce, cost advantage, and strong technological capabilities. The industry provides employment to millions of people and contributes significantly to exports and GDP.

The Indian IT sector is mainly divided into segments such as IT services, business process outsourcing (BPO), software products, and engineering services. Companies in this sector serve clients across various industries including banking, healthcare, retail, manufacturing, and telecommunications.

Major IT companies such as Infosys, TCS, and Wipro have established a strong global presence and compete in international markets. These companies focus on innovation, digital transformation, and customer-centric solutions to maintain their competitive advantage.

In recent years, the IT industry has witnessed rapid changes due to the adoption of emerging technologies such as artificial intelligence, machine learning, cloud computing, and cybersecurity. Companies are investing heavily in these areas to stay relevant and meet changing customer demands.

The industry also faces challenges such as increasing competition, data security concerns, changing regulations, and economic uncertainties. However, continuous innovation and technological advancements help companies overcome these challenges.

Overall, the IT industry plays a vital role in economic growth and development. It supports business operations across sectors and continues to expand with advancements in technology and digital transformation.

Introduction to the Company

Infosys Limited is one of the leading information technology (IT) companies in India. It provides business consulting, information technology, and outsourcing services to clients across the world. The company is known for its strong focus on innovation, quality, and customer satisfaction.

Infosys was established in the year 1981 with a vision to provide world-class technology solutions. Over the years, it has grown into a global organization with operations in multiple countries. The company offers a wide range of services including software development, digital transformation, cloud computing, artificial intelligence, and data analytics.

Infosys serves clients from various industries such as banking, finance, healthcare, manufacturing, retail, and telecommunications. Its ability to deliver reliable and efficient solutions has made it one of the most trusted IT companies globally.

The company focuses on long-term growth and sustainability by investing in advanced technologies and skilled workforce. It also follows strong corporate governance practices and maintains high ethical standards in its operations.

Infosys is listed on major stock exchanges and has a strong financial position. It continues to expand its global presence and improve its service offerings to meet changing customer needs. Overall, Infosys Limited plays a significant role in the IT industry and contributes to economic growth by providing employment and technological advancement.

History and Growth

Infosys Limited was founded in 1981 by a group of seven engineers led by N. R. Narayana Murthy. The company started with a small capital and a vision to build a globally respected organization that provides high-quality technology services. In its early years, Infosys faced several challenges such as limited resources and a developing IT market in India. However, through strong leadership and consistent efforts, the company gradually established itself in the industry.

During the 1990s, Infosys experienced significant growth as the demand for IT services increased globally. The company adopted global delivery models and focused on providing cost-effective and efficient solutions to international clients. It also became one of the first Indian companies to be listed on the NASDAQ stock exchange, which increased its global recognition and credibility.

In the 2000s, Infosys expanded its operations by entering new markets and offering a wide range of services such as consulting, software development, and business process outsourcing. The company invested heavily in technology, infrastructure, and employee training to maintain its competitive position.

In recent years, Infosys has focused on digital transformation, cloud computing, artificial intelligence, and automation. It has adapted to changing market trends and continues to innovate to meet the needs of its clients. The company has also strengthened its global presence by establishing offices and delivery centers in different countries.

Infosys has shown consistent growth in terms of revenue, client base, and employee strength. Its strong financial performance and strategic initiatives have made it one of the leading IT companies in the world.

Overall, the journey of Infosys from a small startup to a global IT leader reflects its strong vision, innovation, and commitment to excellence.

Business Segments

Infosys Limited operates through various business segments, providing a wide range of services to clients across different industries. The company mainly focuses on delivering technology-driven solutions that help organizations improve their performance and efficiency.

One of the key segments of Infosys is Information Technology Services. This includes software development, application maintenance, system integration, and testing services. These services form the core of the company's operations and contribute a major portion of its revenue.

Another important segment is Consulting Services. Infosys provides business consulting and technology consulting to help organizations improve their strategies and operations. This includes services such as digital transformation, process improvement, and IT consulting.

The company is also actively involved in Digital Services, which include cloud computing, artificial intelligence, data analytics, cybersecurity, and automation. These services are growing rapidly as businesses are shifting towards digital platforms.

Infosys also offers Business Process Management (BPM) services. This involves managing business operations such as finance, human resources, customer support, and supply chain processes for clients. These services help companies reduce costs and improve efficiency.

In addition, Infosys serves various industries such as banking and financial services, healthcare, retail, manufacturing, energy, and telecommunications. By providing industry-specific solutions, the company is able to meet the unique needs of different clients.

The company continuously focuses on innovation and invests in new technologies to strengthen its business segments. It aims to provide high-quality services and maintain long-term relationships with its clients.

Overall, the diversified business segments of Infosys help it maintain a strong position in the global IT industry and ensure steady growth and profitability.

CHAPTER 4

Techniques Used by the Company

Capital budgeting is an important process used by companies to evaluate long-term investment decisions. Infosys Limited, being a leading global IT company, follows a systematic and analytical approach in selecting its investment projects.

Based on the analysis of the Infosys Annual Report (2023–24), it is observed that the company focuses on investment decisions involving infrastructure, technology, and financial assets. The company makes significant capital expenditures on computer equipment, infrastructure, and expansion activities to support its long-term growth.

Infosys evaluates its investments by considering various important factors such as future cash flows, profitability, risk, and financial stability. The company analyzes the expected returns from investments before making final decisions. It also considers factors such as credit rating, capital adequacy, and market conditions to minimize risks.

The company uses modern financial techniques such as Discounted Cash Flow (DCF) analysis for evaluating financial instruments and investments. As mentioned in the annual report under the section “Fair value of financial instruments,” the company uses discounted cash flow analysis as one of the methods for valuation. This indicates that Infosys follows a scientific approach in evaluating investments based on the time value of money.

In addition, Infosys follows a strong capital allocation policy. The company aims to return a significant portion of its free cash flow to shareholders through dividends and share buybacks. This reflects efficient financial planning and proper utilization of funds after investment decisions.

Overall, Infosys uses a combination of modern financial techniques, risk analysis, and strategic planning in its capital budgeting process. This helps the company in making effective investment decisions and achieving long-term growth.

Investment Area	Example (Infosys)	Amount (Approx.)
Infrastructure	Buildings, facilities	₹1,761 – ₹2,830 crore
Technology	Computer equipment	Included in above capex
Financial Assets	Bonds, mutual funds, debentures	₹34,659 crore
Innovation	Startup investments, venture funds	Not specifically disclosed

Application of DCF (NPV & IRR)

Discounted Cash Flow (DCF) is one of the most important techniques used by Infosys for evaluating investments. DCF is based on the concept of time value of money, which means that future cash flows are converted into present value for better decision-making.

In the case of Infosys, the use of discounted cash flow analysis indicates that the company evaluates the present value of expected future cash inflows from its investments. This approach is closely related to the Net Present Value (NPV) method, which measures the difference between present value of cash inflows and initial investment.

Although the company does not explicitly mention NPV or IRR in its report, the use of DCF suggests that similar concepts are applied internally for decision-making. These techniques help the company to identify profitable projects and reject unprofitable ones.

For example, when Infosys invests in infrastructure or technology, it estimates future cash benefits from such investments and compares them with the cost involved. If the expected returns are higher than the cost, the investment is considered beneficial.

Thus, DCF and related techniques such as NPV and IRR play an important role in the capital budgeting process of Infosys, even if they are not directly mentioned in the report.

Investment Decision Process

The investment decision process at Infosys involves a structured and systematic approach. The company begins by identifying potential investment opportunities such as expansion, technology development, or infrastructure improvement.

After identifying the opportunities, the company evaluates each project based on expected cash flows, risks, and returns. Risk analysis plays a major role in decision-making, where factors such as market conditions, credit risk, and financial stability are considered.

Infosys also ensures that it maintains sufficient liquidity and working capital to meet its operational needs. The company relies on cash generated from its operations and investments to fund its projects.

Once the evaluation is completed, the company selects projects that provide maximum value and align with its long-term strategy. The focus is always on sustainable growth, profitability, and shareholder value.

After the investment is made, Infosys continuously monitors the performance of projects to ensure that they meet expected outcomes. This helps the company in improving future decision-making.

Overall, the investment decision process of Infosys is well-planned, data-driven, and focused on long-term value creation.

CHAPTER 5

Evaluation of Techniques Used

From the study of Infosys Limited, it is observed that the company mainly uses modern capital budgeting techniques for making investment decisions. The use of Discounted Cash Flow (DCF) analysis indicates that the company considers the time value of money while evaluating projects.

Unlike traditional techniques such as Payback Period and Accounting Rate of Return (ARR), modern techniques provide more accurate and reliable results. Infosys focuses on analyzing future cash flows, risk factors, and expected returns before making investment decisions.

The company also considers various financial and non-financial factors such as profitability, credit rating, and market conditions. This shows that Infosys follows a comprehensive and scientific approach in capital budgeting.

Overall, the techniques used by Infosys are advanced, practical, and suitable for long-term decision-making.

Advantages to the Company

The use of modern capital budgeting techniques provides several advantages to Infosys. Firstly, it helps the company in making better investment decisions by considering future cash flows and risk factors. This reduces the chances of financial losses.

Secondly, the use of DCF-based methods helps in selecting projects that generate higher returns and add value to the company. This leads to increased profitability and growth.

Thirdly, effective capital allocation ensures that the company utilizes its financial resources efficiently. Infosys is able to maintain strong financial stability and return a significant portion of its profits to shareholders through dividends and buybacks.

In addition, risk analysis helps the company in avoiding uncertain and unprofitable projects. This improves overall financial performance and sustainability.

Thus, the use of modern techniques provides both financial and strategic benefits to the company.

Comparison with Other Methods

When compared to traditional techniques such as Payback Period and Accounting Rate of Return (ARR), the methods used by Infosys are more effective and reliable.

Traditional techniques are simple and easy to use but they do not consider the time value of money. They also ignore long-term profitability and risk factors. As a result, they may lead to incorrect investment decisions.

On the other hand, modern techniques such as DCF, NPV, and IRR consider the time value of money and provide a more accurate measure of profitability. These methods help in selecting the best investment options and rejecting unprofitable projects.

Infosys prefers modern techniques because they support long-term growth and better financial planning. However, traditional methods can still be used for preliminary analysis.

Overall, modern capital budgeting techniques are more suitable for large companies like Infosys as they provide better accuracy and support strategic decision-making.

CHAPTER 6

Findings

- Infosys Limited mainly uses modern capital budgeting techniques such as Discounted Cash Flow (DCF) for evaluating investment decisions.
- The company focuses on the time value of money while analyzing projects, which improves accuracy in decision-making.
- Infosys considers multiple factors such as future cash flows, risk, profitability, and market conditions before selecting investments.
- The company makes significant investments in infrastructure, technology, and financial assets for long-term growth.
- Risk analysis plays an important role in the investment decision process, ensuring financial stability.
- Infosys follows a strong capital allocation policy by returning a major portion of free cash flow to shareholders.
- The company adopts a data-driven and systematic approach for capital budgeting decisions.

Suggestions

- Infosys can further improve transparency by providing more detailed disclosures about its investment evaluation methods.
- The company can include more information about project-wise returns to enhance understanding of investment performance.
- Advanced technologies such as artificial intelligence and data analytics can be used to improve capital budgeting decisions.
- The company can strengthen risk management techniques to handle uncertain market conditions more effectively.
- Infosys can also consider using a combination of traditional and modern techniques for better comparison and analysis.
- More focus can be given to sustainable and green investments for long-term environmental and financial benefits.

Conclusion

Capital budgeting is one of the most important aspects of financial management, as it helps companies make long-term investment decisions that directly impact their growth and profitability. The present study on capital budgeting techniques with reference to Infosys Limited provides a clear understanding of how theoretical concepts are applied in real business situations.

From the study, it is evident that Infosys follows a systematic and well-structured approach in evaluating its investment decisions. The company focuses on long-term value creation by investing in infrastructure, technology, and financial assets. These investments are carefully analyzed by considering future cash flows, expected returns, and associated risks. This shows that the company gives significant importance to planning and analysis before making any major financial decisions.

One of the key observations from the study is that Infosys uses modern capital budgeting techniques such as Discounted Cash Flow (DCF) for evaluating investment opportunities. The use of DCF indicates that the company considers the time value of money, which is essential for making accurate and effective financial decisions. Although techniques like Net Present Value (NPV) and Internal Rate of Return (IRR) are not explicitly mentioned in the report, the use of DCF suggests that similar concepts are applied internally.

The study also highlights that Infosys follows a strong capital allocation policy. The company efficiently manages its financial resources by investing in profitable projects and returning a significant portion of its free cash flow to shareholders through dividends and share buybacks. This reflects the company's focus on maintaining a balance between growth and shareholder satisfaction.

In addition, risk analysis plays a major role in the investment decision process of Infosys. The company considers factors such as credit rating, market conditions, and financial stability while making investment decisions. This helps in reducing uncertainty and ensures that the company selects projects that are both profitable and sustainable in the long run.

The findings of the study clearly indicate that modern capital budgeting techniques are more effective compared to traditional methods. While traditional techniques like Payback Period and Accounting Rate of Return are simple and easy to use, they do not consider important factors such as the time value of money and risk. On the other hand, modern techniques provide a more accurate and realistic evaluation of investment opportunities.

Overall, the capital budgeting practices of Infosys Limited are efficient, analytical, and aligned with its long-term strategic goals. The company's focus on innovation, financial discipline, and risk management has helped it maintain a strong position in the global market.

Thus, it can be concluded that effective capital budgeting is essential for the success of any organization. Companies that adopt modern techniques and follow a systematic approach are more likely to achieve sustainable growth and profitability in a competitive business environment.

BIBLIOGRAPHY

Books:

- Prasanna Chandra, *Financial Management: Theory and Practice*, Tata McGraw Hill
- I.M. Pandey, *Financial Management*, Vikas Publishing House

Websites:

- Official Website of Infosys Limited – <https://www.infosys.com>
- Infosys Annual Report 2023–24 – <https://www.infosys.com/investors/reports-filings/annual-report.html>

Reports:

- Infosys Integrated Annual Report 2023–24
- Graham, J.R. & Harvey, C.R. (2020), Study on Corporate Financial Practices
- KPMG (2021), Report on Financial Decision-Making Practices
- PwC (2022), Global Survey on Capital Budgeting Techniques
- Deloitte (2023), Report on Risk Analysis in Capital Budgeting

Journals and Articles:

- Research papers and articles related to capital budgeting techniques from online academic sources

Annexure

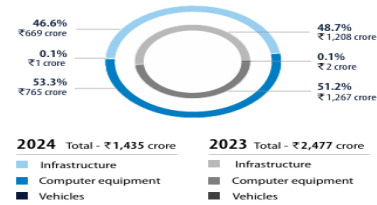
2.11.4 Fair value of financial instruments

In determining the fair value of its financial instruments, the Group uses a variety of methods and assumptions that are based on market conditions and risks existing at each reporting date. The methods used to determine fair value include discounted cash flow analysis, option pricing model, market multiples, available quoted market prices and dealer quotes. All methods of assessing fair value result in general approximation of value, and such value may never actually be realized.

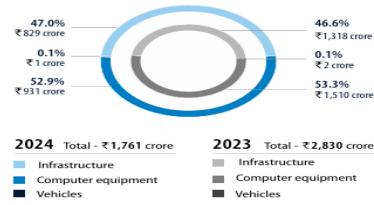
Refer to table 'Financial instruments by category' below for the disclosure on carrying value and fair value of financial assets and liabilities. For financial assets and liabilities maturing within one year from the Balance Sheet date and which are not carried at fair value, the carrying amounts approximates fair value due to the short maturity of these instruments.

Capital expenditure on tangible assets

Standalone

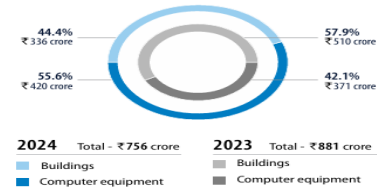


Consolidated

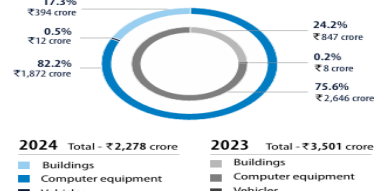


Leases

Standalone



Consolidated



2.5 Investments

Particulars	(in ₹ crore)	
	As at March 31,	
	2024	2023
Non-current investments		
Equity instruments of subsidiaries	9,150	9,078
Redeemable preference shares of subsidiary	2,831	2,831
Preference securities and equity securities	206	196
Target maturity fund units	431	402
Others	84	82
Tax-free bonds	1,731	1,742
Government bonds	14	14
Non-convertible debentures	2,216	2,490
Government securities	6,689	6,851
Total non-current investments	23,352	23,686
Current investments		
Liquid mutual fund units	1,913	260
Commercial papers	4,507	420
Certificates of deposit	2,945	2,765
Tax-free bonds	-	150
Government securities	204	5
Non-convertible debentures	1,738	876
Total current investments	11,307	4,476
Total carrying value	34,659	28,162